INVESTMENT / SALES OFFERING MEMORANDUM

Magnolia Terrace

48-Unit Multifamily Community · Raleigh, North Carolina

Analysis date 2026-08-31 · Trailing twelve months ended 2026-08-31

Source-backed analysis. Assumptions remain subject to diligence.

CAPITALIZED VALUE	UNDERWRITTEN NOI	PHYSICAL OCCUPANCY
$11,154,323	**$641,374**	**91.67%**
UW NOI ÷ 5.7500%	Before reserves	44 of 48 in possession

MAXIMUM LOAN	NET CASH-OUT	REPORTED T-12 NOI
$6,788,545	**$2,475,660**	**$604,128**
DSCR-constrained	After payoff, fee and costs	Historical, cash basis

OFFERING PROFILE

Property	**Magnolia Terrace**	Occupied units	**44**
Market	**Raleigh, NC**	Pending (no possession)	**1**
Asset type	**Multifamily**	Vacant units	**3**
Total units	**48**	Annual in-place rent	**$894,600**
Total rentable area	**40,800 SF**	Weighted lease expiry	**2029-08-31 (all suites)**
Unit mix	**16 Studio / 16 1BR / 16 2BR**	Street address	Not represented

Not supplied and not invented.
No photographs or imagery, no asking price or pricing guidance, no market sales comparables, no market rent comparables, and no sponsor or borrower history are contained in the source packet. None has been created, estimated or implied anywhere in this memorandum.

Diligence status. Legal, environmental, property condition and title reviews are not complete. These are routine pending diligence items, not findings of a defect. The packet supplies no evidence of contamination, litigation, fraud or structural failure, and none is asserted here.

Prepared from nine supplied documents only. No external research, market data or third-party outreach was used. Reported T-12 NOI, underwritten NOI and underwritten NCF are three separate measures and are labeled distinctly throughout.

SECTION 01

Executive summary

Magnolia Terrace is a 48-unit, 40,800 square foot multifamily community in Raleigh, North Carolina, offered at 91.67% physical occupancy with a uniform 2029 lease expiry across every suite. The certified rent roll dated 2026-08-31 shows 44 suites in possession, one suite leased but not yet occupied, and three vacant suites. On the prescribed stabilized underwriting the asset produces $641,374 of net operating income before reserves, which capitalizes at 5.7500% to $11,154,323.

WHAT THE NUMBERS SAY

- **Income is contractually locked, not speculative.** Every active lease expires 2029-08-31, roughly three years past the analysis date. There is no near-term rollover exposure at all — zero active suites expire inside the next twelve months.
- **The underwritten NOI sits $37,246 above the reported T-12 NOI.** That gap is not an accounting adjustment. It is driven by the prescribed gross potential rent basis, which credits all 48 suites rather than the 44 actually collecting, plus $16,800 of other income, net of a 5% economic loss and a 3% management fee that the historical ledger does not carry as a separate line.
- **Debt capacity is constrained by coverage, not by value.** At a 1.25x minimum DSCR on net cash flow the loan sizes to $6,788,545, which is only 60.86% of capitalized value and carries a 9.24% debt yield. Both the 65% LTV cap and the 9% debt yield floor have meaningful headroom; coverage is the binding test.
- **The refinance clears comfortably.** After the $4,200,000 existing payoff, a 1% origination fee and $45,000 of closing costs, net cash-out is a positive $2,475,660. No additional sponsor equity is required.

SOURCE CONFLICTS IDENTIFIED AND RESOLVED

The packet deliberately contains a stale archive alongside contemporaneous controlling documents. Three discrepancies were found. All three are resolvable from the documents themselves and none is left open.

CONFLICT	RESOLUTION	GOVERNING EVIDENCE
Two rent rolls with different rents	The 2026-06-30 archive is stale and excluded entirely. The 2026-08-31 certified roll controls and matches the analysis date.	rent-roll-certified.xlsx B2; rent-roll-archive.xlsx B2; diligence-status.pdf p.1
Manager reports 45 of 48 leased; roll shows 44 in possession	Both are correct on their own definition. 45 counts one pending suite that has not taken possession. Physical occupancy is 44 of 48, and that is what is used.	manager-cover.pdf p.1; rent-roll-certified.xlsx D49, G49
Suite 001 lease says $1,500/mo; amendment adds $350	The amendment was executed by both parties 2026-07-20 and took effect 2026-08-01, so it is in force at the analysis date. Controlling rent is $1,850/mo.	lease-001.pdf p.1; lease-correspondence.pdf p.1

> **One definitional point worth stating plainly.** The executed Suite 001 amendment raises in-place rent to $1,850 per month, but gross potential rent is deliberately struck at the pre-amendment certified schedule of $974,400 because the underwriting instructions prescribe that basis. In-place rent and prescribed gross potential rent are two different measures serving two different purposes. This is a definitional separation, not an inconsistency, and both figures are reported.

THE HONEST COUNTERWEIGHT

The strengths above rest on a narrow evidentiary base. There is no market rent or sales evidence in the packet, which means the 5.7500% capitalization rate is an instruction rather than a market conclusion, and no view can be formed on whether in-place rents sit above or below market. A single point-in-time rent roll supports no occupancy trend. Four of the nine documents describe assumptions rather than verified facts, and four principal diligence workstreams remain open. A buyer should treat the value and loan figures here as arithmetic on prescribed inputs, correctly executed, rather than as a market-tested valuation.

SECTION 02

Property and unit / suite mix

Magnolia Terrace comprises 48 residential suites totaling 40,800 rentable square feet, distributed in a perfectly even 16/16/16 split across three floor plans. The manager's cover note maps unit groups A, B and C in order to Studio, one-bedroom and two-bedroom, and that mapping is used throughout this memorandum.

UNIT MIX BY MANAGER GROUP

GROUP	FLOOR PLAN	AREA (SF)	TOTAL UNITS	OCCUPIED	PENDING	VACANT	TOTAL AREA (SF)	SCHEDULED RENT /MO	RENT PER SF /MO
A	Studio	700	16	15	0	1	11,200	$24,000	$2.14
B	1 Bedroom	820	16	15	0	1	13,120	$26,400	$2.01
C	2 Bedroom	1,030	16	14	1	1	16,480	$30,800	$1.87
Total / weighted		**850**	**48**	**44**	**1**	**3**	**40,800**	**$81,200**	**$1.99**

Scheduled rent is the certified roll rent before the Suite 001 amendment, consistent with the prescribed gross potential rent basis. Group C carries the only pending suite (045), which is why its occupied count is 14 rather than 15.

SCHEDULED RENT BY PLAN

FLOOR PLAN	MONTHLY RENT PER UNIT	ANNUALIZED PER UNIT	SHARE OF TOTAL AREA	SHARE OF SCHEDULED RENT
Studio (Group A)	$1,500	$18,000	27.5%	29.6%
1 Bedroom (Group B)	$1,650	$19,800	32.2%	32.5%
2 Bedroom (Group C)	$1,925	$23,100	40.4%	37.9%
All suites	**$1,692**	**$20,300**	**100.0%**	**100.0%**

PHYSICAL CHARACTERISTICS

Total suites	**48**
Total rentable area	**40,800 SF**
Average suite size	**850 SF**
Occupied area	**37,220 SF**
Area occupancy	**91.23%**

Capitalized value per unit	**$232,382**
Capitalized value per SF	**$273.39**
UW NOI per unit	**$13,362**
Site area / parking	Not supplied
Year built / renovated	Not supplied

Capital item noted. The operating statement references a roof replacement and classifies it as a capital improvement. No dollar amount, completion date, scope or warranty documentation is supplied, and the property condition assessment is not complete. The cost of that work is explicitly unknown, which is not the same as zero — the $0 shown in the T-12 repairs line means no recurring repair component was booked there, not that the roof was free.

Area occupancy of 91.23% runs slightly below unit occupancy of 91.67% because the four unoccupied suites skew toward larger plans: one Studio, one one-bedroom, and two two-bedrooms including the pending suite.

SECTION 03

Lease and occupancy analysis

UNIT OCCUPANCY	AREA OCCUPANCY	IN-PLACE RENT	NEAR-TERM EXPIRIES
0.9167	**0.9123**	**$894,600**	**0**
44 of 48 suites	37,220 of 40,800 SF	Annual, amendment applied	Next 12 months

POSSESSION STATUS RECONCILIATION

STATUS	UNITS	AREA (SF)	MONTHLY RENT	TREATMENT IN THIS ANALYSIS
Active — in possession	44	37,220	$74,550	Counted as occupied. Basis for in-place rent.
Pending — leased, no possession	1	1,030	$1,925	Excluded from occupancy and from in-place rent.
Vacant	3	2,550	$5,075	Excluded from occupancy and from in-place rent.
Total	**48**	**40,800**	**$81,550**	**All 48 credited in prescribed GPR.**

Monthly rent column reflects the executed Suite 001 amendment, so the active total is $74,550 rather than the $74,200 shown on the unamended certified roll.

The occupancy figure to use is 44, not 45. The manager's cover note headlines 45 of 48 leased by counting occupied plus pending together. That is a defensible leasing statistic but it is not physical occupancy, and the certified roll's own note on suite 045 states plainly that pending means not yet in possession. Underwriting an unpossessed suite as occupied would credit rent that is not being paid.

This memorandum uses 44 occupied units throughout. The pending suite is disclosed as near-term lease-up potential rather than in-place income. Note that the prescribed gross potential rent basis credits all 48 suites by instruction, which is a separate and intentional stabilized assumption, not a repeat of the manager's error.

SUITE 001 — CONTROLLING RENT DETERMINATION

DOCUMENT	DATE / STATUS	MONTHLY RENT EFFECT	CONTROLLING?
lease-001.pdf — executed lease, Suite 001, 700 SF	Expiry 2029-08-31; $3,000 deposit	$1,500 base	Yes, as amended
lease-correspondence.pdf — signed amendment	Executed 2026-07-20; effective 2026-08-01	+$350	Yes — controls
Controlling rent at 2026-08-31 (unit_001_monthly_rent)		**$1,850**	**—**

The amendment is fully executed by both parties and its effective date precedes the analysis date, so it governs. All other lease terms are unchanged. The lease also confirms that no free-rent concession applies as of the evaluation date, and no unsigned rent proposal appears anywhere in the packet — the only rent change on file is signed.

LEASE EXPIRATION SCHEDULE

LEASE YEAR ENDING	ACTIVE SUITES EXPIRING	% OF OCCUPIED UNITS	EXPIRING MONTHLY RENT	ASSESSMENT
2027-08-31 (next 12 months)	0	0.0%	$0	No near-term rollover
2028-08-31	0	0.0%	$0	None
2029-08-31	44	100.0%	$74,550	Full-portfolio concentration
Total	**44**	**100.0%**	**$74,550**	**—**

Read this schedule both ways. Near-term rollover risk is absent by the underwriting definition — an active expiry inside twelve months — and zero suites qualify. But the same uniformity means the entire rent roll turns over on a single day in 2029. That concentration falls outside the near-term horizon and is correctly scored absent for the risk field, yet a buyer holding past 2029 inherits a single-date renewal event covering 100% of income. It is disclosed here rather than buried.

SECTION 04

Historical versus underwritten financials

Three distinct measures appear below and are labeled separately: **reported T-12 NOI**, the historical cash result for the twelve months ended 2026-08-31; **underwritten NOI**, a forward stabilized figure struck on prescribed assumptions before reserves; and **underwritten NCF**, that same figure after replacement reserves. They are not interchangeable and only NCF is used for coverage tests.

ACCOUNT	T-12 ACTUAL	UNDERWRITTEN	VARIANCE	COMMENT
Rental and ancillary collections / EGI	$876,960	$942,480	$65,520	Historical collections are cash received, not an annualized rent-roll total.
Operating expenses (parentheses denote expense in the source statement)				
Real estate tax	($102,312)	($102,312)	$0	Prescribed at the actual. No reassessment view is supplied.
Insurance expense	($34,104)	($34,104)	$0	Prescribed at the actual.
Other recurring operating expenses	($136,416)	($136,416)	$0	Prescribed at the actual.
Management fee @ 3% of EGI	—	($28,274)	($28,274)	Not a separate T-12 line. A real economic addition, not a reclassification.
Roof replacement booked in repairs	$0	$0	$0	Reported at zero. Capital, with no recurring repair component included.
Total operating expenses	**($272,832)**	**($301,106)**	**($28,274)**	**Underwritten figure is before reserves.**
Reported T-12 NOI / underwritten NOI	**$604,128**	**$641,374**	**$37,246**	**Before reserves in both columns.**
Replacement reserves @ $300/unit	—	($14,400)	($14,400)	Not a T-12 cash line. Deducted below NOI.
Underwritten NCF (after reserves)	**unknown**	**$626,974**	**—**	**No historical equivalent is reported.**

T-12 period 2025-09-01 through 2026-08-31, cash basis, amounts in USD and not thousands. Reported NOI of $604,128 ties exactly to $876,960 less $102,312, $34,104 and $136,416.

UNDERWRITTEN INCOME BUILD

LINE	AMOUNT	DERIVATION
Gross potential rent	$974,400	All 48 suites at certified scheduled rent, before the Suite 001 amendment: $81,200 × 12
Less economic loss @ 5%	($48,720)	Prescribed vacancy and credit allowance
Plus other income	$16,800	$350 per suite × 48. Reimbursements already inside GPR and not added twice
Underwritten EGI	**$942,480**	**—**
Less operating expenses	($301,106)	Tax, insurance, other recurring, plus 3% management on EGI
Underwritten NOI (before reserves)	**$641,374**	**Capitalized figure**
Less replacement reserves	($14,400)	$300 × 48
Underwritten NCF (after reserves)	**$626,974**	**Basis for DSCR and debt yield**

On the $37,246 NOI uplift. It is not cost savings. Roughly $65,520 of incremental income arises because the prescribed GPR credits all 48 suites rather than the 44 collecting, and adds $16,800 of other income, net of the 5% loss factor. Against that, a 3% management fee of $28,274 is added that the T-12 never carried. A buyer should understand this as an assumption-driven figure, not a demonstrated result.

Margins. Underwritten NOI margin on EGI is 68.05% and the expense ratio before reserves is 31.95%, or $6,273 per unit. Without market operating comparables in the packet, no view is offered on whether that expense load is competitive.

Insurance appears twice in this packet in two unrelated senses. The $34,104 above is the annual insurance expense. The $2,000,000 in the insurance record is a general liability aggregate coverage limit, effective 2026-07-01 through 2027-06-30. The two are not comparable and neither substitutes for the other.

SECTION 05

Debt sizing and sources & uses

VALUATION

LINE	VALUE	BASIS
Underwritten NOI before reserves	$641,374	Per Section 04
Capitalization rate	5.7500%	Prescribed instruction, not a market-derived conclusion
Capitalized value	**$11,154,323**	**$641,374 ÷ 0.0575**

SIZING CONVENTIONS

PARAMETER	VALUE	NOTE
Note rate	6.2500%	Original contract rate
Underwriting rate floor	6.0000%	Lower than the note rate
Sizing rate applied	**6.2500%**	**Greater of the two. The floor does not bind.**
Amortization	30 years, monthly	Sized on a fully amortizing payment even though months 1–24 are interest-only
Annuity factor	162.4122	Present value of $1 per month at 0.520833% for 360 periods

THREE-CONSTRAINT SIZING TEST

CONSTRAINT	TEST	IMPLIED LOAN	RESULT
Maximum LTV 65.00%	0.65 × $11,154,323	$7,250,310	Not binding — $461,765 of headroom
Minimum DSCR 1.25x on NCF	**($626,974 ÷ 1.25 ÷ 12) × 162.4122**	**$6,788,545**	**BINDING**
Minimum NCF debt yield 9.00%	$626,974 ÷ 0.09	$6,966,373	Not binding — $177,828 of headroom
Maximum loan (most restrictive)		**$6,788,545**	**DSCR-constrained**

ACHIEVED METRICS AT THE SIZED LOAN

Monthly principal & interest	**$41,798.24**
Annual debt service	**$501,579**
DSCR on NCF	**1.2500x (at minimum)**
NCF debt yield	**9.24%**
LTV	**60.86%**
Loan per unit	**$141,428**
Interest-only annual cost (mo. 1–24)	**$424,284**
DSCR during interest-only window	**1.4777x**

SOURCES AND USES

Sources	
New sized loan	**$6,788,545**
Additional sponsor equity	**$0**
Total sources	**$6,788,545**
Uses	
Existing loan payoff	**$4,200,000**
Origination fee @ 1.00%	**$67,885**
Closing costs	**$45,000**
Net cash-out to sponsor	**$2,475,660**
Total uses	**$6,788,545**

SENSITIVITY — MAXIMUM LOAN BY CAP RATE AND SIZING RATE

CAP RATE ↓ / SIZING RATE →	6.0000%	6.2500%	6.5000%	6.7500%	7.0000%
5.2500%	$6,966,373	$6,788,545	$6,612,934	$6,444,398	$6,282,592
5.5000%	$6,966,373	$6,788,545	$6,612,934	$6,444,398	$6,282,592
5.7500% (prescribed)	**$6,966,373**	**$6,788,545**	**$6,612,934**	**$6,444,398**	**$6,282,592**
6.0000%	$6,948,214	$6,788,545	$6,612,934	$6,444,398	$6,282,592
6.2500%	$6,670,285	$6,670,285	$6,612,934	$6,444,398	$6,282,592

Proceeds are insensitive to cap rate across most of this range because coverage, not value, is the binding test — a lower cap rate raises value without raising the loan. Cap rate only matters once it reaches roughly 6.00% or higher, at which point the LTV cap takes over. Rate movement, by contrast, passes straight through: each 25 basis point increase in the sizing rate costs roughly $170,000 of proceeds. At a 6.0000% sizing rate the 9% debt yield floor caps proceeds instead of coverage.

SECTION 06

Risks and missing diligence

Each risk below was assessed independently against the packet rather than inferred from the others. Where a source conflict exists, it is explained and resolved rather than left open.

RISK	STATUS	ASSESSMENT AND EVIDENCE
risk_pending_in_occupancy	PRESENT	The manager's cover note headlines 45 of 48 leased by including suite 045, which is pending and has not taken possession. Including an unpossessed suite in occupancy overstates in-place income. Resolvable and resolved: physical occupancy is 44 of 48. This memorandum uses 44 throughout.
risk_near_term_rollover	ABSENT	Every active lease expires 2029-08-31, well beyond the 2027-08-31 twelve-month horizon. Zero active suites expire near-term. The 2029 single-date concentration is disclosed in Section 03 but is outside the defined horizon.
risk_missing_insurance	ABSENT	A current policy declaration is in the packet: $2,000,000 general liability aggregate, effective 2026-07-01 through 2027-06-30, in force at the analysis date. Coverage adequacy relative to replacement cost is untested because no valuation or property condition report is supplied.
risk_capital_in_opex	ABSENT	Assessed on the reported historical ledger classification. The operating statement books the roof replacement in repairs at $0 and states expressly that the roof is a capital improvement with no recurring repair component included. No capital cost is sitting inside operating expenses, so no add-back or expense scrub is warranted.
risk_unsigned_rent_change	ABSENT	No unsigned rent proposal exists anywhere in the packet. The only rent change on file is the amendment executed by both parties on 2026-07-20. The lease's caution that an unsigned proposal would not bind is a general term with nothing to attach to here.
risk_temporary_free_rent	ABSENT	The Suite 001 lease states directly that no free-rent concession applies as of the evaluation date. No concession, abatement or inducement appears in any other document.
risk_sizing_floor_binding	ABSENT	Comparing the original note rate of 6.2500% against the 6.0000% underwriting floor, the note rate is greater and governs. The floor sits below the note rate and therefore does not bind.
risk_refinance_shortfall	ABSENT	At the sized loan of $6,788,545, proceeds cover the $4,200,000 payoff, $67,885 origination fee and $45,000 closing costs with $2,475,660 remaining. Net cash-out is positive, so no additional sponsor equity is required.

MISSING DILIGENCE — EXPLICITLY UNKNOWN, NOT ZERO

ITEM	STATUS AND CONSEQUENCE
Legal review	Not complete. Routine pending diligence, not a finding of a defect.
Environmental review	Not complete. No evidence of contamination is supplied and none is asserted.
Property condition assessment	Not complete. No evidence of structural failure is supplied and none is asserted. Roof replacement scope, cost and warranty remain unverified.
Title review	Not complete. Routine pending diligence.
Photographs and imagery	Not supplied. Not created.
Asking price / pricing guidance	Not supplied. No price expectation is stated anywhere in this package.
Market sales comparables	Not supplied. The 5.7500% cap rate is therefore a prescribed input, not a market conclusion, and the $11,154,323 value carries no market corroboration.
Market rent comparables	Not supplied. No mark-to-market, loss-to-lease or rent growth conclusion can be drawn.
Sponsor / borrower history	Not supplied. No track record, credentials, net worth or liquidity.
Occupancy trend	Only one point-in-time certified roll is supplied. No trend, seasonality or turnover history.
Capital budget / roof cost	Described as capital but no amount is supplied. Unknown, distinct from zero.
Tax reassessment outlook	Not supplied. Tax is held flat at the T-12 actual per instruction, which may understate a post-sale reassessment.
Property address	Not represented. Original fictional evaluation property.

The material limitation, stated plainly. Seven of the eight scored risks are absent, which reads well. But the absence of market evidence is the dominant open item and it is not scored as a risk field. Value and loan capacity here are arithmetic on prescribed inputs, executed correctly and traceable to source. They are not a market-tested valuation, and no reader should treat them as one until comparables, condition and title work are complete.

SECTION 07

Source notes and document register

Nine documents were supplied and all nine are accounted for below. No external research, market data, third-party report or outreach of any kind was used.

DOCUMENT	STATUS	WHAT IT GOVERNS / WHAT IT DOES NOT ESTABLISH
rent-roll-certified.xlsx Rent Roll!A1:G52	Controlling	As-of 2026-08-31. Governs unit count, floor plan, area, possession status, scheduled rent and expirations, and controls physical occupancy. Its rent column does not reflect the Suite 001 amendment.
rent-roll-archive.xlsx Rent Roll!A1:G52	Stale — excluded	Dated 2026-06-30 and superseded. Governs nothing. Its lower rents of $1,425, $1,575 and $1,850 are not current and were not used in any calculation.
lease-001.pdf Page 1	Controlling as amended	Suite 001 base terms: $1,500 per month, 700 SF, expiry 2029-08-31, $3,000 deposit. Confirms no free-rent concession at the evaluation date. Its $1,500 rent is superseded by the amendment.
lease-correspondence.pdf Page 1	Controlling	Amendment executed by both parties 2026-07-20, effective 2026-08-01, raising Suite 001 rent by $350 per month with all other terms unchanged. Does not alter the prescribed pre-amendment GPR basis.
manager-cover.pdf Page 1	Context and mapping	Property identity, market and asset type. Establishes the A/B/C to Studio/1BR/2BR group mapping used here. Its 45-of-48 leased headline does not establish physical occupancy; certified detail controls.
operating-statement.pdf Page 1	Controlling (historical)	T-12 cash results 2025-09-01 to 2026-08-31, reported NOI $604,128, roof replacement booked at $0 in repairs. Historical collections are not an annualized rent-roll total and are not the underwritten EGI.
insurance.pdf Page 1	Controlling	General liability aggregate limit $2,000,000, effective 2026-07-01 to 2027-06-30. The limit is not the insurance expense; the expense is $34,104.
underwriting-instructions.pdf Page 1	Controlling (prescriptive)	All underwriting assumptions, loan constraints, sizing conventions and risk definitions. Supplies no photographs, asking price, market comparables or sponsor history, and instructs that their absence be labeled rather than filled.
diligence-status.pdf Page 1	Scope limitation	States that legal, environmental, property condition and title reviews are not complete and are routine pending diligence. Supplies no evidence of contamination, litigation, fraud or structural failure, and none is asserted anywhere in this memorandum.

COMPANION WORKBOOK

Every figure in this memorandum is reproduced with live formulas in **magnolia-terrace-underwriting.xlsx**. Designated input cells are Inputs!B5 (gross_potential_rent), Inputs!B14 (cap_rate) and Inputs!B17 (sizing_rate). Designated output cells are Underwriting!B8 (uw_egi), Underwriting!B15 (uw_noi), Underwriting!B17 (uw_ncf), Underwriting!B20 (capitalization_value), Debt!B13 (maximum_loan) and Debt!B34 (net_cash_out). The workbook also contains the full 48-suite roll, a historical-versus-underwritten bridge, three sensitivity tables, the named field register and this source register.

Source-backed analysis. Assumptions remain subject to diligence.

APPENDIX A — PART 1 OF 2

Named field register

All 41 reported fields with value, unit and primary evidence location. Ratios are decimal values. Missing information is stated as unknown, which is distinct from zero. Full calculations appear in the accompanying final analysis and in the workbook's Fields sheet, which carries the same register with live formulas.

FIELD	VALUE	UNIT	EVIDENCE
total_units	**48**	units	rent-roll-certified.xlsx A5:A52
occupied_units	**44**	units	rent-roll-certified.xlsx D5:D52
pending_units	**1**	units	rent-roll-certified.xlsx D49, G49
total_area_sf	**40,800**	SF	rent-roll-certified.xlsx C5:C52
occupied_area_sf	**37,220**	SF	rent-roll-certified.xlsx C5:C48
unit_occupancy	**0.9167**	decimal	rent-roll-certified.xlsx D5:D52
area_occupancy	**0.9123**	decimal	rent-roll-certified.xlsx C5:C52, D5:D52
annual_in_place_rent	**$894,600**	USD/yr	rent-roll-certified.xlsx E5:E48; lease-correspondence.pdf p.1
unit_001_monthly_rent	**$1,850**	USD/mo	lease-001.pdf p.1; lease-correspondence.pdf p.1
gross_potential_rent	**$974,400**	USD/yr	underwriting-instructions.pdf p.1; rent-roll-certified.xlsx E5:E52
uw_egi	**$942,480**	USD/yr	underwriting-instructions.pdf p.1
uw_tax	**$102,312**	USD/yr	underwriting-instructions.pdf p.1; operating-statement.pdf p.1
uw_insurance	**$34,104**	USD/yr	underwriting-instructions.pdf p.1; operating-statement.pdf p.1
uw_operating_expenses	**$301,106.40**	USD/yr	underwriting-instructions.pdf p.1
uw_noi	**$641,373.60**	USD/yr	underwriting-instructions.pdf p.1
uw_ncf	**$626,973.60**	USD/yr	underwriting-instructions.pdf p.1
sizing_rate	**0.0625**	decimal	underwriting-instructions.pdf p.1
cap_rate	**0.0575**	decimal	underwriting-instructions.pdf p.1
capitalization_value	**$11,154,323.48**	USD	underwriting-instructions.pdf p.1
ltv_limit	**0.65**	decimal	underwriting-instructions.pdf p.1
dscr_limit	**1.25**	ratio	underwriting-instructions.pdf p.1

Workbook cell map. Designated inputs — gross_potential_rent Inputs!B5, cap_rate Inputs!B14, sizing_rate Inputs!B17. Designated outputs — uw_egi Underwriting!B8, uw_noi Underwriting!B15, uw_ncf Underwriting!B17, capitalization_value Underwriting!B20, maximum_loan Debt!B13, net_cash_out Debt!B34.

APPENDIX A — PART 2 OF 2

Named field register, continued

Risk fields are scored present, absent or unresolved. No field is left unresolved: the one present risk and the three source conflicts identified in Section 01 are each explained and resolved from the documents themselves.

FIELD	VALUE	UNIT	EVIDENCE
debt_yield_limit	**0.09**	decimal	underwriting-instructions.pdf p.1
maximum_loan	**$6,788,545.13**	USD	underwriting-instructions.pdf p.1
net_cash_out	**$2,475,659.67**	USD	underwriting-instructions.pdf p.1
insurance_policy_limit	**$2,000,000**	USD	insurance.pdf p.1
selected_roll_date	**2026-08-31**	date	rent-roll-certified.xlsx B2
reported_t12_noi	**$604,128**	USD/yr	operating-statement.pdf p.1
type_a_units	**16**	units	manager-cover.pdf p.1; rent-roll-certified.xlsx B5:B52
type_a_occupied	**15**	units	rent-roll-certified.xlsx B5:B52, D5:D52
type_b_units	**16**	units	manager-cover.pdf p.1; rent-roll-certified.xlsx B5:B52
type_b_occupied	**15**	units	rent-roll-certified.xlsx B5:B52, D5:D52

FIELD	VALUE	UNIT	EVIDENCE
type_c_units	**16**	units	manager-cover.pdf p.1; rent-roll-certified.xlsx B5:B52
type_c_occupied	**14**	units	rent-roll-certified.xlsx B5:B52, D5:D52
risk_pending_in_occupancy	**present**	flag	manager-cover.pdf p.1; rent-roll-certified.xlsx D49
risk_near_term_rollover	**absent**	flag	rent-roll-certified.xlsx F5:F52
risk_missing_insurance	**absent**	flag	insurance.pdf p.1
risk_capital_in_opex	**absent**	flag	operating-statement.pdf p.1
risk_unsigned_rent_change	**absent**	flag	lease-001.pdf p.1; lease-correspondence.pdf p.1
risk_temporary_free_rent	**absent**	flag	lease-001.pdf p.1
risk_sizing_floor_binding	**absent**	flag	underwriting-instructions.pdf p.1
risk_refinance_shortfall	**absent**	flag	underwriting-instructions.pdf p.1; Debt!B34

Reading the risk scores. Seven of eight risks are absent and one is present. Absent means the packet affirmatively establishes the condition does not apply — a current insurance declaration exists, no unsigned rent proposal exists, the lease rules out free rent, expiries fall outside the horizon, the note rate exceeds the floor, the roof cost was not booked in operating expenses, and proceeds cover the payoff. Absent does not mean unexamined, and it does not extend to the market and diligence items catalogued in Section 06, which remain explicitly unknown.